MARKETBEAT

PHOENIX

INDUSTRIAL Q3 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
13.1% Vacancy Rate	▲	▼
8.8M YTD Net Absorption, SF	▼	▲
$1.10 Asking Rent, PSF *(Overall, Net Asking Rent)*	▲	▲

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
4.3% United States Unemployment Rate	▲	▲

Source:BLS

ECONOMY: KEY INDICATORS SIGNAL CONTINUED GROWTH

In Q3 2025, the Phoenix Metro reported an employment level of 2.5 million, with nearly 32,600 jobs added since the end of Q3 2024. While the unemployment rate bumped up from 3.3% to 3.6% over that period, it remained well-below the national average of 4.3% and ranked third-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, as the median household income increased by 3.2% year-over-year (YOY) to $91,100. Population growth also outpaced the national trend, however, the 1.0% YOY increase marked a deceleration from previous quarters. Meanwhile, Phoenix's GDP growth accelerated from 1.8% in Q3 2024 to +2.7% in Q3 2025, further reinforcing the Metro's positive economic momentum.

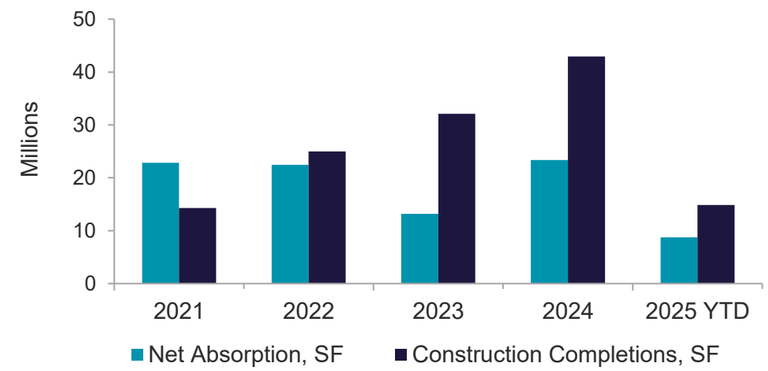
SUPPLY: VACANCY DECLINES AS THE PACE OF DELIVERIES SLOWS

Phoenix's industrial vacancy rate fell for the first time since Q1 2023, ticking down by 20 basis points (bps) quarter-over-quarter (QOQ) to 13.1% in Q3 2025. Market dynamics are being influenced by a slowdown in new supply, which is helping vacancy stabilize despite net absorption trailing recent norms. Just 6.8 million square feet (msf) was delivered over the past two quarters, marking the Metro's lowest six-month total since mid-2020. In the Southwest Valley submarket, quarterly deliveries fell below 1 msf for the first time in over six years, contributing to a 110 bps vacancy decline in Q3 2025. The Southeast Valley submarket also noted a 60 bps decrease YOY, amid a 62% reduction in year-to-date completions relative to the same time in 2024. Supply pressures should continue easing market-wide, with just 28.2 msf projected for delivery across 2026 and 2027, a significant decrease compared to the 74.6 msf completed in the prior two years.

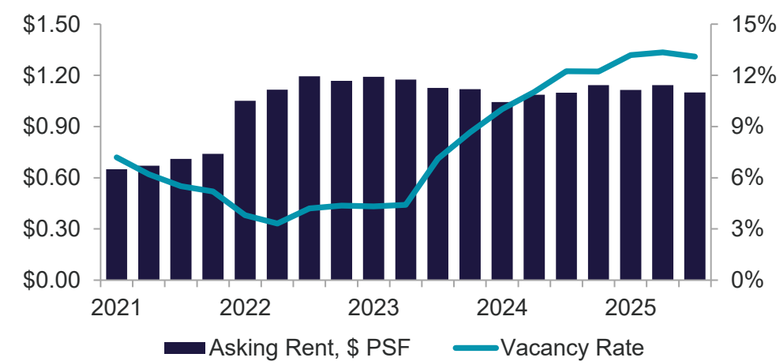
PRICING: RENT TRENDS INFLUENCED BY CHANGING SUPPLY LANDSCAPE

Both direct and overall average asking rents declined QOQ to $1.16 per square foot (psf) and $1.10 psf triple net (NNN). The trend is tied to a slow in speculative deliveries, which have buoyed overall rent growth in recent years. New builds completed since 2022 have quoted a direct average asking rent of $1.51 psf NNN, but with many now being leased and fewer coming online, their influence on the Metro's average asking rent is starting to wane. Warehouse/distribution and high-tech spaces, which have comprised the bulk of recent deliveries, noted overall rent declines of 6.0% and 4.4% QOQ. Meanwhile, the more supply-insulated office service and manufacturing sectors posted QOQ changes of -0.4% and +0.8%.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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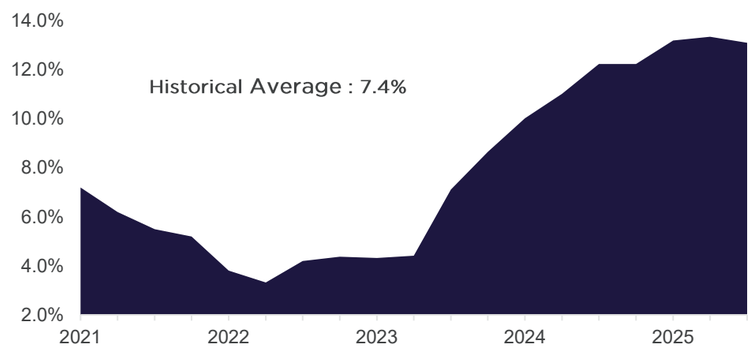
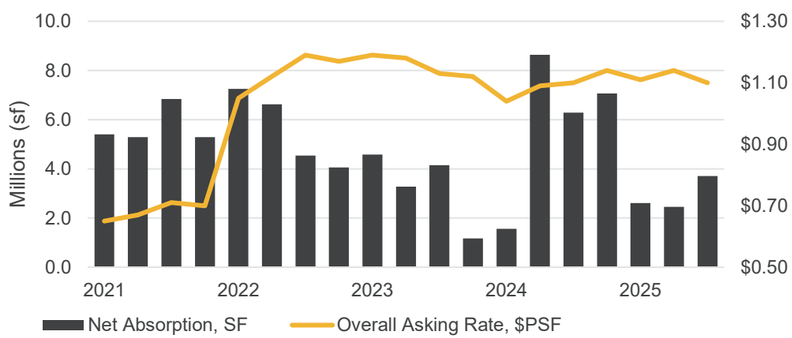
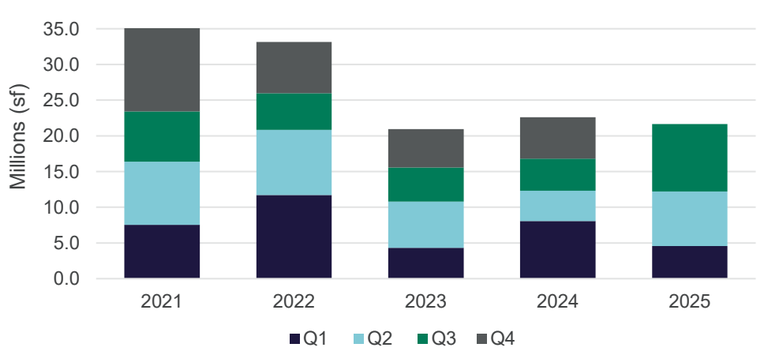
OVERALL VACANCY



ABSORPTION VS. RENT



LEASING ACTIVITY



ACTIVITY: LEASING ACTIVITY RALLIES TO OVER-FOUR-YEAR HIGH

While economic uncertainty surrounding tariffs was anticipated to negatively impact overall demand in 2025, the Phoenix industrial market has exceeded expectations with over 21.6 msf of leasing activity year-to-date. The metro observed over 9.4 msf of new leases in Q3 2025 alone, which represents a 106% increase YOY and the market's strongest quarterly activity since Q1 2022. Much of the overall market's recent rally can be attributed to the Southwest Valley submarket, where leasing activity grew by 208% YOY to near-four-year high of 6.9 msf. In fact, nine of the ten largest deals signed during the quarter took place here, with the two largest — Walmart's and Ceva Logistics leases of 1.3 msf each — being the first million-square foot deals in the overall Metro since Q1 2024. While tenant demand was relatively diverse across the market, leasing activity became increasingly concentrated among warehouse/distribution spaces, which accounted for a 91% share in Q3 — the highest proportion since at least 2022. Still, office service properties are also observing positive leasing momentum, with a 55% increase QOQ to 210,897 sf.

ABSORPTION: IMPROVED ABSORPTION SIGNALS RECOVERY IS UNDERWAY

During Q3 2025, overall net absorption in Phoenix increased by 51% QOQ to 3.7 msf, rebounding from a five-quarter low of 2.5 msf in Q2. The Southeast and Southwest Valley submarkets accounted for the entirety of the Metro's positive absorption, recording totals of 1.2 msf and 3.1 msf, respectively. Notable move-ins during the quarter included Walmart (1.3 msf), American Eagle (521,302 sf) and Verst (331,683 sf), which all took place in the Southwest Valley. While these move-ins contributed to improved quarterly performance, the market's year-to-date absorption still trails the same point in 2024 by 47%. Looking ahead, positive momentum is expected to build. As of now, over 5.0 msf of signed leases are planned to commence during Q4, while an additional 3.7 msf of build-to-suit (BTS) buildings are slated to come online. Among the largest planned move-ins are Peopleworks (532,713 sf), Ball Corp (514,063 sf) and QTS Data Centers (495,728 sf), who have all signed to occupy facilities in the Southwest Valley submarket before the end of 2025.

CONSTRUCTION: CONSTRUCTION ABATING; GREATER FOCUS ON BTS

Following three years of record-setting supply additions from 2022 to 2024, the Metro's completions total is anticipated to decline by 55% to 19.1 msf in 2025. The slowdown should persist, with just 42.7 msf forecasted for delivery between 2026 and 2029, a figure that parallels 2024's single-year total of 42.5 msf. While a rebound in construction activity remains possible, more expensive capital costs, higher input expenses and historically elevated vacancy are likely to restrain future development. These headwinds are already impacting the composition of new supply, leading fewer speculative projects to pencil than in prior years. About 55% of the space currently under construction is slated as BTS, compared to a 19% share from 2022 to 2024.

OUTLOOK

- Although the total impact of tariffs has remained unclear so far in 2025, it's likely that rising costs for construction inputs will keep speculative development activity on the decline. In the meantime, existing speculative inventory may observe improved absorption as companies begin to find fewer newly-built options to occupy. This overall trend is expected to gradually temper elevated vacancy rates in submarkets that have recently recorded robust supply growth.
- Large leases signed within the quarter, accompanied by the anticipated delivery of over 3.7 msf of BTS projects, are expected to improve absorption figures throughout the remainder of 2025.
- The advanced manufacturing and high technology sector continues to experience increasing rates of absorption and development. Large-scale BTS construction activity, especially in the semiconductor and data center sectors, will likely play a major role in shaping not only the future of Phoenix's commercial real estate realm, but also its overall macroeconomic environment.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	YTD CNSTR COMPLETIONS (SF)	DIRECT NNN ASKING RATE*	OVERALL NNN ASKING RATE*
Airport	71,779,095	5,119,233	7.1%	-482,862	-437,361	1,981,662	1,841,819	745,275	$1.15	$1.15
Northeast Valley	14,274,242	900,359	6.3%	-101,755	-221,748	350,613	946,654	242,740	$1.41	$1.38
Northwest Valley	59,017,653	4,759,290	8.1%	-9,935	480,262	1,843,184	719,571	1,143,428	$1.17	$1.17
Southeast Valley	109,213,020	17,962,729	16.4%	1,212,110	3,633,518	5,485,967	6,352,937	4,160,969	$1.22	$1.18
Southwest Valley	205,524,510	31,364,266	15.3%	3,090,666	5,313,284	11,984,256	7,239,407	8,586,632	$1.01	$0.89
MARKET TOTALS	**459,808,520**	**60,105,877**	**13.1%**	**3,708,224**	**8,767,955**	**21,645,682**	**17,100,388**	**14,879,044**	**$1.16**	**$1.10**

**Rental rates reflect weighted net asking $psf/month*

KEY LEASE TRANSACTIONS Q3 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Elwood Logistics Center	Southwest Valley	Ceva Logistics	1,302,434	Sublease
Luke Field	Southwest Valley	Walmart	1,278,650	Direct
303 Crossroads	Southwest Valley	Scotts Miracle-Gro	743,800	Direct
West 202 Logistics – Phase I	Southeast Valley	Peopleworks	532,713	Direct
C | 303 – Phase I	Southwest Valley	QTS Data Centers	495,728	Direct

KEY SALE TRANSACTIONS Q3 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Latitude 303 – Bldgs. A & B	Southwest Valley	Westport Capital Partners, LLC / EQT Real Estate	1,035,662	$113.5M / $126.54
625 S 27th Ave	Southwest Valley	Cowley Companies, Inc. / Reich Brothers	862,542	$55.03M / $63.80
303 Logistics – Phase Two	Southwest Valley	W.M. Grace Companies / Cohen Asset Management Inc.	377,028	$60.2M / $159.80
2402 W Beardsley Rd	Northwest Valley	Verde Investments / ViaWest Group	350,000	$60M / $171.43
Central Freight Lines	Southwest Valley	EQT Real Estate / Realterm US, Inc.	94,557	$56.81M / $600.79

KEY PROJECTS UNDER CONSTRUCTION

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
LG Energy Solution	Southeast Valley	LG Energy Solution	1,500,000	LG Energy Solution
West 101 Logistics Center	Southwest Valley	-	1,088,747	Trammell Crow Company
West 202 Logistics – Phase II	Southwest Valley	-	824,404	CapRock Partners

KEY CONSTRUCTION COMPLETIONS Q3 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Queens Crossing – Bldgs. A,B,C	Southeast Valley	-	432,098	Ryan Companies
Sossaman Business Campus – Bldgs. 1-8	Southeast Valley	-	330,492	Mutual Development Partners, LLC
Orangewood Commerce Center	Northwest Valley	-	292,751	Provident Realty Advisors, Inc.

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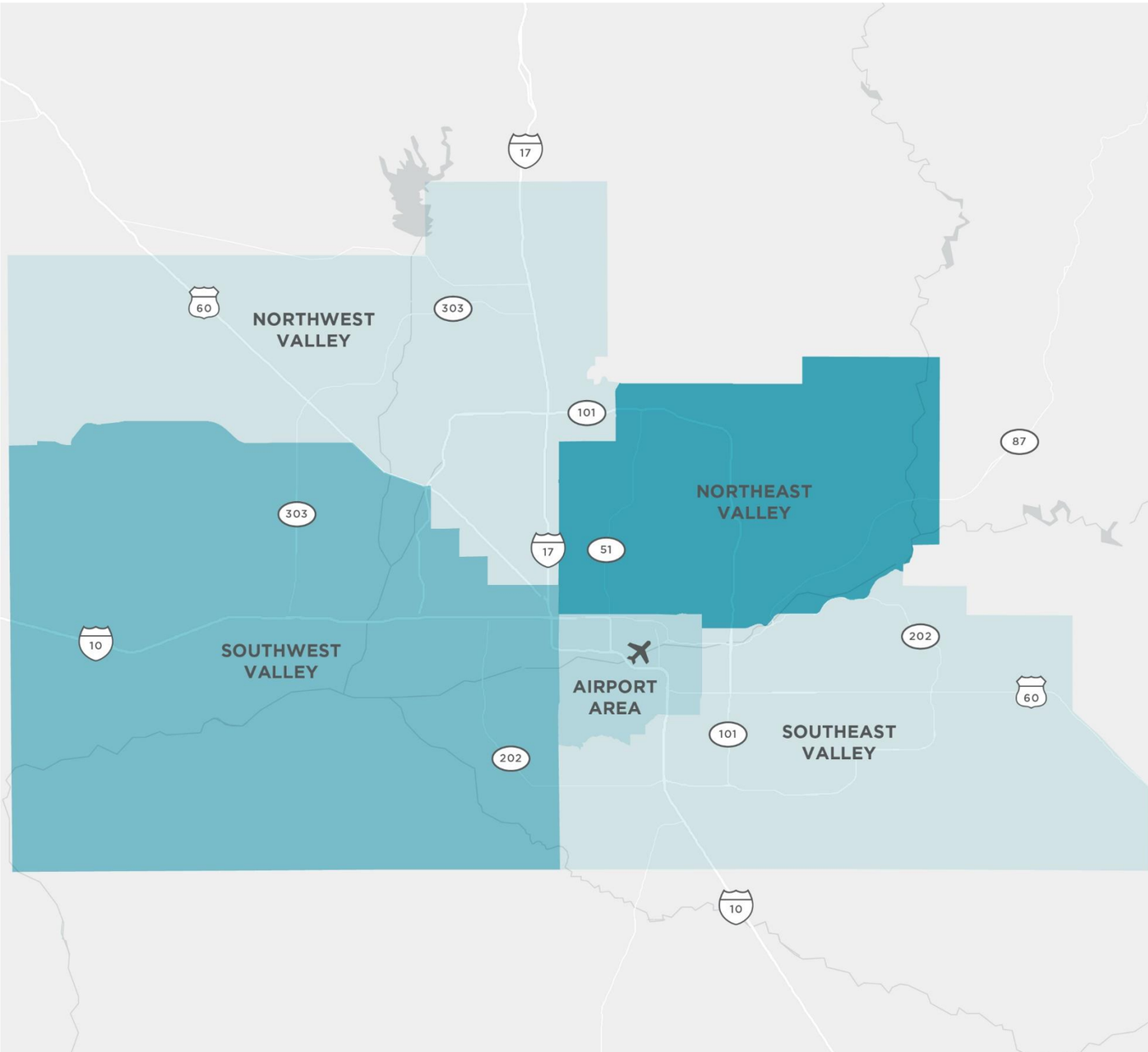
INDUSTRIAL SUBMARKETS



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